

**D. Investors tend to hold on to losers and sell winners.**

A portfolio of stocks with a few winners at the top followed by a long list of losers is not uncommon. As discussed earlier it is because we go for sure gains and take more risks when threatened with a loss. So if you have one such portfolio you need to know that your decision-making is being controlled by loss aversion. Instead of riding the winners you are riding the losers.

E. Tax Aversion. People are always wary of paying taxes. This is also one sort of loss aversion. Tax is an outflow and is considered to be a loss. But in reality we pay tax on our income. We need a change of mindset. Always count your income net of taxes. This will enable you to avoid tax aversion arising out of loss aversion.

Going back to our examples at the beginning of this chapter, let us understand how each person reacted to loss aversion. Ramesh and Mr. Gandhi were so averse to loss that they opted for fixed income securities and bank deposits. Of course if we take into account the ravages of inflation then both of them had opted for a guaranteed losing proposition—return of around six per cent as against a government reported inflation of around eight per cent. Under the excuse of being a long-term investor Sudhir held on to the loser. Mrs. Arora sold the winners too early and, contrarily held on to the losers. Mr. Kanan's fear of losing saw him take higher risks until he had put 100 per cent of his portfolio in tech stocks. Now there's nothing wrong with tech stocks. But in his case he had put aside the asset allocation theory of diversification and increased his chances of losing.

An over sensitivity to loss can also have negative consequences. One area in which loss aversion skews judgement is investing. In the short-term investors, being especially sensitive to loss, contribute to the panic selling that accompanies stock market crashes. This is what happened in May 2004 when the markets tumbled and the BSE Sensex was down by over 700 points in just two trading sessions. Investors over-reacted as the injured wanted to cut their losses. This precipitated the fall steeply. However, a couple of days later these investors experienced a different kind of pain when the stock market climbed again. By pulling out of